includes eight participants who bid to acquire a stock whose life is limited to a single period. Sessions include six or eight markets with three trading periods.

With larger monetary endowments, or more house money, market valuations will reflect greater risk taking. Traders with larger endowments will be more willing to gamble to acquire the stock, which translates into a higher market price for the stock. On this basis market prices are expected to differ across the two treatments. Hypothesis 1: The market price is higher when traders' endowments are larger. In testing hypothesis 1 we compare market prices across the low and high endowment treatments. Subsequent behavior is examined by looking at price changes in response to changes in market wealth. As a subset of the traders acquires the stock and the stock pays a positive dividend with a probability of 50 percent, incorporating the prior evolution of the market is important. Barberis, Huang, and Santos (2001)[6] *assert that people are less risk averse as their wealth rises because prior gains cushion subsequent losses.*

At the beginning of each session, participants receive a set of instructions and follow along as an experimenter reads aloud. Sessions 1 to 5 (6 to 9) consist of 6 (8) three-period markets. Participants are given tickets on which to record their bids for the stock. Prior to the beginning of each market period, participants are also asked to predict the purchase price of the stock for the upcoming period. Participants record their predictions on the confidential bid tickets. Participants are instructed that the roll of a die determines the dividend paid to asset holders at period end. If the roll of the die results in 1, 2, or 3, the dividend is \$0, otherwise the dividend is \$40, so that each dividend is equally likely. Participants are invited to examine the die at any time. The bidding procedure works as follows. All 8 participants submit sealed bids for the stock by recording the amount of money they are willing to pay for one share of stock. The four shares are allocated to the four highest bidders at the fifth highest bid. After the shares are allocated, one of the traders is specifically asked to observe the experimenter toss the die to ensure confidence that the dividend payment is randomly determined.

At the conclusion of the first period, the second period commences and four shares of an identical single-period stock are auctioned off in the exact same fashion. A trader's cash balance is carried forward across periods within a market. As before, subsequent to allocation with a Vickrey auction, a die roll determines